Sanil Electric (062040 KS)

Strong orders offset earnings miss, with blue wave adding support

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BUY (M)

Target price	W360,000 (M)
Previous target price	W360,000
Current price (Nov 04)	W155,000
Upside potential	132%

Market cap (Wbn)	4,750
Shares outstanding	30,642,850
Avg daily T/O (2M, Wbn)	52
Avg daily volume (2M, shrs)	271,373
52-week high/low (won)	333,500 / 120,800
Foreign ownership (%)	17.56%
Dividend yield (%)	0.96%
Major shareholders	Dong-seok Park & others

Stock performance

(%)	1M	3M	12M
Absolute	(31.7)	1.4	(7.7)
Relative	(15.9)	13.4	(33.1)
Abs (US$)	(31.3)	8.3	(1.1)

3Q26 review: shipment delays and higher costs weigh on earnings

Sanil Electric posted 3Q26 consolidated sales of W146.0bn (+10.0% YoY, -11.1% QoQ) and OP of W44.5bn (+4.6% YoY, -28.2% QoQ; OPM 30.5%), significantly missing both consensus and our estimates. Shipment delays caused by typhoons and geopolitical risks left W78.0bn in shipments awaiting revenue recognition. Excluding the usual W30.0bn of unrecognized shipments at quarter-end, we estimate additional revenue deferrals at about W48.0bn. Including this amount, sales would have reached around W194.0bn.

Profitability also deteriorated. Raw materials purchased when the won was weak were reflected into sales when the won was stronger, driving a 6.5%p QoQ decline in gross margin. Higher aluminum and insulating oil prices also weighed on margins. However, the company is passing on cost increases into pricing for new orders, which should gradually ease margin pressure from the timing mismatch.

Record new orders; expanding growth drivers into ESS and reactors

New orders reached a quarterly record of W278.9bn (+118.7% YoY) in 3Q26. Order backlog rose to W689.7bn (+66.5% YoY), while the book-to-bill ratio climbed to 1.9x. Repeat orders from Bloom Energy continued, and the firm secured two additional transformer orders for data centers totaling W67.5bn in October alone. Furthermore, most of the W180bn in cumulative orders from new clients since 4Q25 will likely be recognized as revenue going forward. In particular, ESS demand is expanding from renewable integration to data centers and on-site power generation. The company also secured reactor orders worth over W50bn in 3Q26. As the US FCC added certain foreign-made foreign inverters to the list of equipment subject to restrictions on new certifications, US inverter clients such as TMEIC are likely to expand supply. Moreover, negotiations for additional large-scale reactor orders are ongoing and the Democratic sweep of both the House and Senate in the midterm elections has raised expectations of improved conditions for renewable energy investment. With ESS and reactors adding onto existing renewable orders, policy changes may provide further upside to order intake.

2027 OP to grow 50.7%

As most of the deferred shipments convert into revenue in 4Q26, we forecast revenue at W215.2bn and OP at W71.5bn (OPM 33.2%). Although raw materials procured at high forex rates will likely be partially reflected into costs in 4Q26, profitability should improve on rising sales. OPM is expected to fully recover to normal levels in 2027. We estimate 2027 revenue at W935.5bn (+38.4% YoY) and OP at W352bn (+50.7% YoY, OPM 37.6%). Profit growth should accelerate further on increasing data center/ESS orders and the recognition of reactor revenue. It is now time to focus on the conversion of order backlog into revenue and earnings growth in 2027, rather than the short-term earnings shock. We maintain BUY and our target price of W360,000.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	146	10.0	-11.1	170	-14.3
OP	45	4.9	-28.0	64	-29.7
Pre-tax net profit	53	14.2	-24.3	66	-18.4
Net profit, CI	41	11.7	-24.7	50	-18.3
OPM (%)	30.6	-1.5 %pt	-7.2 %pt	37.3	-6.7 %pt
NPM (%)	28.2	+0.5 %pt	-5.0 %pt	29.6	-1.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, individual) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	334	502	676	936
OP	109	179	234	352
Net profit, CI	84	149	200	299
P/E (x)	15.7	19.4	23.7	15.9
P/B (x)	3.5	4.9	6.3	4.8
EV/EBITDA (x)	12.6	14.7	18.7	12.1
ROE (%)	19.3	29.2	30.1	34.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Sanil Electric: 3Q26 review (Wbn)

	3Q26P	3Q25	YoY	2Q26	QoQ	Our estimate	Difference
Sales	146.0	132.7	10.0%	164.2	-11.1%	168.6	-13.4%
OP	44.5	42.6	4.6%	62.0	-28.3%	64.2	-30.7%
OPM	30.5%	32.1%	-1.6%p	37.8%	-7.3%pt	38.1%	-7.6%p

Source: company data, Yuanta Securities

Earnings estimate revision (Wbn)

	Old			New			Change		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	180.2	663.3	885.1	215.2	675.7	935.5	19.4%	1.9%	5.7%
OP	67.6	249.3	338.1	71.5	233.7	352.0	5.8%	-6.3%	4.1%
OPM	37.5%	37.6%	38.2%	33.2%	34.6%	37.6%	-4.3%p	-3.0%p	-0.6%p

Source: Yuanta Securities

Sanil Electric: earnings forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26P	2Q26E	3Q26E	4Q26E	2025	2026E	2027E
Sales		**98.8**	**128.3**	**132.7**	**142.1**	**150.3**	**164.2**	**146.0**	**215.2**	**502.0**	**675.7**	**935.5**
Power grid		**45.0**	**38.3**	**26.2**	**53.8**	**39.3**	**26.5**	**20.0**	**40.4**	**163.3**	**126.1**	**187.0**
	US	42.0	38.0	26.2	52.8	38.9	25.3	19.8	39.5	159.0	123.6	181.4
	Europe, others	3.0	0.2	0.1	1.0	0.4	1.2	0.1	0.8	4.3	2.5	5.6
Renewable energy/		**50.0**	**87.3**	**101.7**	**82.8**	**106.7**	**132.4**	**116.9**	**168.8**	**321.8**	**524.8**	**686.3**
data center	US	25.6	64.0	63.5	67.5	94.9	116.8	77.3	146.9	220.6	435.9	610.8
	Europe, others	24.5	23.3	38.2	15.3	11.8	15.6	39.5	21.9	101.2	88.8	75.5
Others		**3.8**	**2.7**	**4.8**	**5.5**	**4.3**	**5.2**	**9.2**	**6.1**	**16.8**	**24.8**	**62.3**
(region)												
Domestic		**4.2**	**2.4**	**2.4**	**4.4**	**4.2**	**5.4**	**3.7**	**3.3**	**13.5**	**16.6**	**9.0**
Exports		**94.6**	**125.8**	**130.3**	**137.7**	**146.1**	**158.8**	**142.4**	**211.9**	**488.5**	**659.1**	**926.5**
	US	65.4	100.0	88.1	116.7	128.9	137.5	94.7	186.4	370.2	547.4	792.1
	Europe	23.3	18.7	35.8	13.8	8.5	12.4	35.4	15.3	91.6	71.6	80.6
	Japan	1.4	3.1	3.8	2.9	4.7	3.7	1.7	5.1	11.2	15.1	26.9
	Others	4.5	3.9	2.7	4.3	4.1	5.2	10.4	5.1	15.4	24.8	26.9
YoY (%)		***39.8%***	***70.5%***	***66.5%***	***31.1%***	***52.1%***	***28.0%***	***10.0%***	***51.4%***	***50.3%***	***34.6%***	***38.4%***
Power grid		***98.1%***	***15.7%***	***-28.5%***	***-10.9%***	***-12.7%***	***-30.6%***	***-23.9%***	***-25.0%***	***6.8%***	***-22.7%***	***48.2%***
	US	*117.0%*	*31.4%*	*-25.6%*	*-5.9%*	*-7.3%*	*-33.4%*	*-24.3%*	*-25.1%*	*13.9%*	*-22.2%*	*46.7%*
	Europe, others	*-10.5%*	*-94.9%*	*-96.4%*	*-76.3%*	*-88.1%*	*476.2%*	*160.8%*	*-20.8%*	*-67.8%*	*-41.2%*	*121.9%*
Renewable energy/		***24.2%***	***142.8%***	***158.4%***	***130.3%***	***113.3%***	***51.7%***	***14.9%***	***103.8%***	***112.4%***	***63.1%***	***30.8%***
data center	*US*	*12.8%*	*186.0%*	*185.8%*	*1388.0%*	*271.3%*	*82.6%*	*21.8%*	*117.4%*	*207.3%*	*97.6%*	*40.1%*
	Europe, others	*38.9%*	*71.6%*	*122.9%*	*-51.4%*	*-51.9%*	*-33.1%*	*3.5%*	*43.7%*	*27.0%*	*-12.3%*	*-15.0%*
Others		***-50.3%***	***-56.4%***	***32.1%***	***-54.1%***	***13.1%***	***93.3%***	***91.9%***	***10.0%***	***-43.0%***	***47.4%***	***151.0%***
(region)												
Domestic		***-60.9%***	***-68.6%***	***-62.1%***	***-43.5%***	***-1.0%***	***122.3%***	***52.8%***	***-24.4%***	***-58.8%***	***23.2%***	***-45.8%***
Exports		***58.3%***	***86.4%***	***77.5%***	***36.9%***	***54.5%***	***26.2%***	***9.2%***	***53.8%***	***62.1%***	***34.9%***	***40.6%***
	US	*55.8%*	*94.5%*	*53.4%*	*69.8%*	*96.9%*	*37.4%*	*7.4%*	*59.8%*	*68.6%*	*47.9%*	*44.7%*
	Europe	*79.4%*	*41.0%*	*183.8%*	*-47.5%*	*-63.6%*	*-33.9%*	*-1.1%*	*11.0%*	*40.7%*	*-21.9%*	*12.6%*
	Japan	*-54.3%*	*174.2%*	*123.8%*	*-7.2%*	*229.6%*	*16.1%*	*-54.8%*	*76.2%*	*24.0%*	*34.7%*	*77.7%*
	Others	*171.3%*	*140.8%*	*62.1%*	*69.8%*	*-9.9%*	*34.3%*	*279.7%*	*19.4%*	*106.1%*	*60.7%*	*8.3%*
Share of sales (%)												
Power grid		**45.5%**	**29.8%**	**19.8%**	**37.9%**	**26.1%**	**16.2%**	**13.7%**	**18.7%**	**32.5%**	**18.7%**	**20.0%**
	US	42.5%	29.7%	19.7%	37.1%	25.9%	15.4%	13.6%	18.4%	31.7%	18.3%	19.4%
	Europe, others	3.0%	0.2%	0.0%	0.7%	0.2%	0.7%	0.1%	0.4%	0.9%	0.4%	0.6%
Renewable energy/		**50.6%**	**68.1%**	**76.6%**	**58.3%**	**71.0%**	**80.6%**	**80.0%**	**78.4%**	**64.1%**	**77.7%**	**73.4%**
data center	US	25.9%	49.9%	47.9%	47.5%	63.2%	71.1%	53.0%	68.2%	43.9%	64.5%	65.3%
	Europe, others	24.7%	18.2%	28.8%	10.7%	7.8%	9.5%	27.1%	10.2%	20.2%	13.1%	8.1%
Others		**3.9%**	**2.1%**	**3.6%**	**3.9%**	**2.9%**	**3.2%**	**6.3%**	**2.8%**	**3.4%**	**3.7%**	**6.7%**
(region)												
Domestic		**4.3%**	**1.9%**	**1.8%**	**3.1%**	**2.8%**	**3.3%**	**2.5%**	**1.5%**	**2.7%**	**2.5%**	**1.0%**
Exports		**95.7%**	**98.1%**	**98.2%**	**96.9%**	**97.2%**	**96.7%**	**97.5%**	**98.5%**	**97.3%**	**97.5%**	**99.0%**
(% in exports)	US	69.2%	79.5%	67.6%	84.7%	88.2%	86.6%	66.5%	88.0%	75.8%	83.1%	85.5%
	Europe	24.6%	14.9%	27.5%	10.0%	5.8%	7.8%	24.9%	7.2%	18.8%	10.9%	8.7%
	Japan	1.5%	2.5%	2.9%	2.1%	3.2%	2.3%	1.2%	2.4%	2.3%	2.3%	2.9%
	Others	4.8%	3.1%	2.1%	3.1%	2.8%	3.3%	7.3%	2.4%	3.2%	3.8%	2.9%
OP		**37.5**	**46.2**	**42.6**	**52.4**	**55.5**	**62.0**	**44.5**	**71.5**	**178.6**	**233.7**	**352.0**
YoY (%)		***61.4%***	***88.5%***	***53.1%***	***55.4%***	***47.9%***	***34.3%***	***4.6%***	***36.5%***	***63.5%***	***30.8%***	***50.7%***
OPM (%)		**38.0%**	**36.0%**	**32.1%**	**36.8%**	**36.9%**	**37.8%**	**30.5%**	**33.2%**	**35.6%**	**34.6%**	**37.6%**

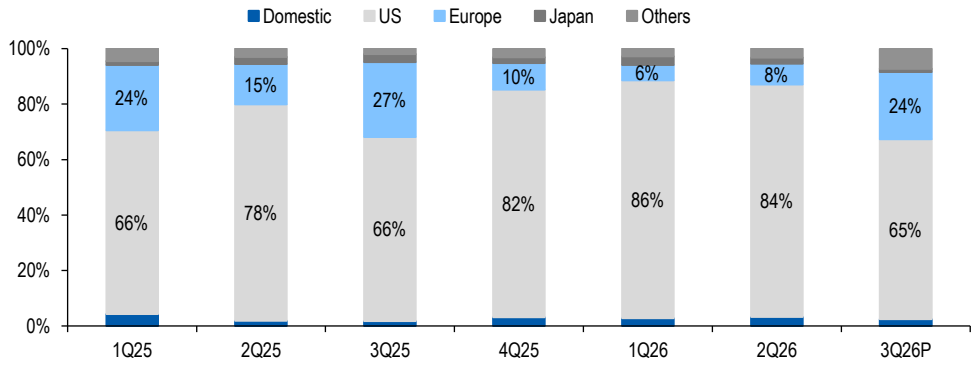
Source: Yuanta Securities

Distribution equipment peers: valuations (Wbn, $mn, EURmn, TWDmn)

		Sanil Electric	LS Electric	Cheryong Electric	Eaton (ETN)	VERTIV (VRT)	Schneider Electric SE (SU)	ABB (ABBN)	Fortune Electric
Market cap		**4,750**	22,605	606	152,175	90,863	144,714	162,023	175,472
Sales	2025	**502**	4,966	224	27,448	10,230	40,152	33,220	24,423
	2026E	**676**	6,879	226	33,182	14,588	45,263	38,193	26,099
	2027E	**936**	9,618	-	37,075	19,360	50,805	43,045	33,133
	2028E	**1,334**	11,260	-	40,764	23,605	56,268	47,613	41,009
OP	2025	**179**	426	67	5,209	1,830	6,699	6,047	5,227
	2026E	**234**	787	78	6,344	3,447	8,383	7,575	6,240
	2027E	**352**	1,319	-	7,650	4,907	10,025	8,775	8,742
	2028E	**503**	1,732	-	8,810	6,201	11,690	10,077	11,839
OPM	2025	**35.6%**	8.6%	29.9%	19.0%	17.9%	16.7%	18.2%	21.4%
	2026E	**34.6%**	11.4%	34.5%	19.1%	23.6%	18.5%	19.8%	23.9%
	2027E	**37.6%**	13.7%	-	20.6%	25.3%	19.7%	20.4%	26.4%
	2028E	**37.7%**	15.4%	-	21.6%	26.3%	20.8%	21.2%	28.9%
Net profit, CI	2025	**149**	287	59	4,087	1,333	4,163	4,734	4,419
	2026E	**200**	603	62	5,283	2,749	5,918	6,205	5,877
	2027E	**299**	1,020	-	6,049	3,799	7,130	6,590	7,647
	2028E	**422**	1,315	-	6,968	4,858	8,343	7,501	9,761
P/E (x)	2025	**26.6**	48.2	9.6	28.7	44.2	31.7	29.9	65.0
	2026E	**23.7**	37.5	9.8	28.8	33.0	24.5	26.1	29.9
	2027E	**15.9**	22.2	-	25.2	23.9	20.3	24.6	22.9
	2028E	**11.3**	17.2	-	21.8	18.7	17.3	21.6	18.0

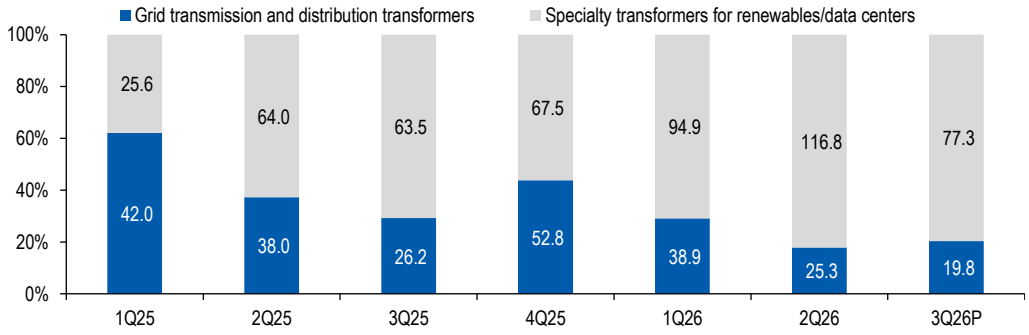
Note: market cap is as of Nov 4, 2026, CI = controlling interest
Source: Bloomberg, Yuanta Securities

Sanil Electric: revenue breakdown by region



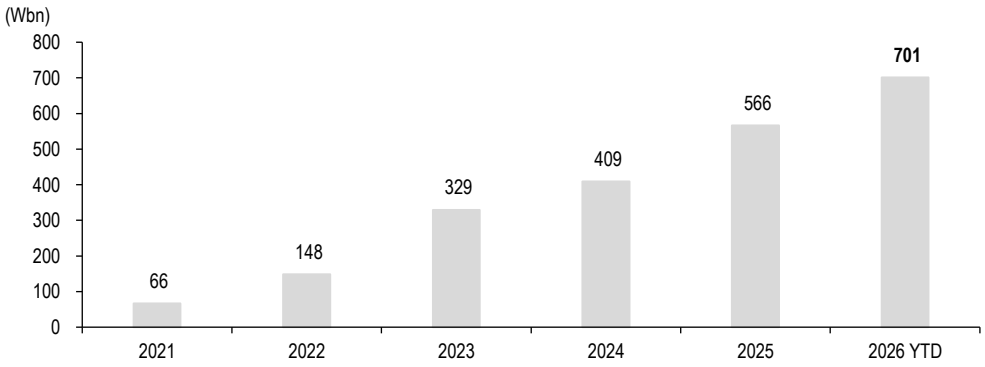
Source: company data, Yuanta Securities

Sanil Electric: share of US in revenue by business



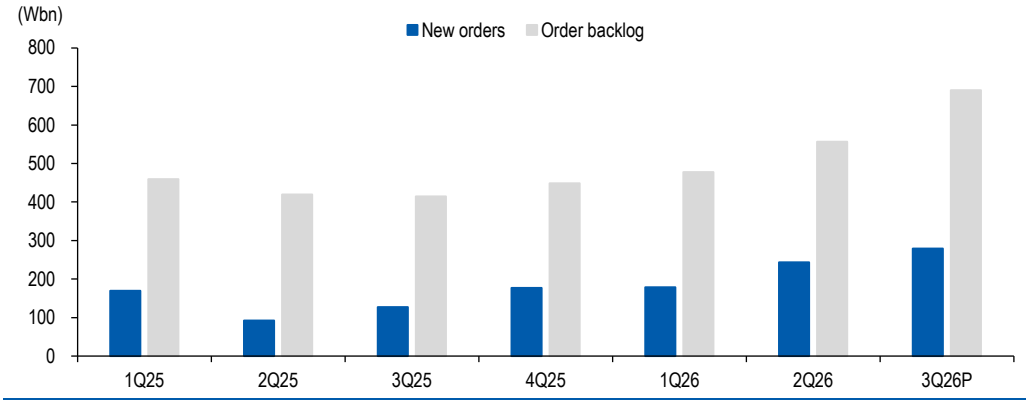
Source: company data, Yuanta Securities

Sanil Electric: new orders by year



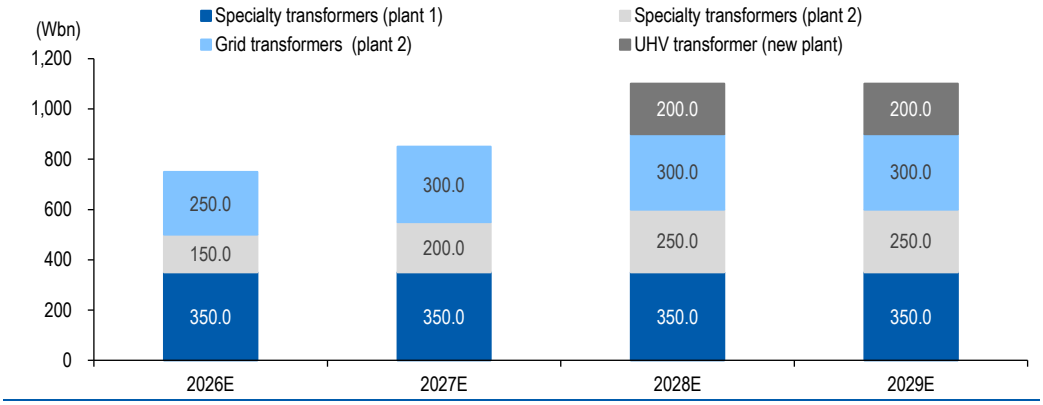
Source: company data, Yuanta Securities

Sanil Electric: new orders and order backlog



Source: company data, Yuanta Securities

Sanil Electric: production capacity



Note: reflecting potential increase in productivity
Source: company data, Yuanta Securities

Sanil Electric (062040 KS) pro forma financial statements (K-IFRS, individual)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**334**	**502**	**676**	**936**	**1,334**
Cost of sales	190	268	375	493	701
Gross profit	144	234	301	442	632
SG&A	34	55	67	90	129
Operating profit	**109**	**179**	**234**	**352**	**503**
EBITDA	112	183	238	356	508
Non-operating profit	-4	12	11	17	22
Forex gains	11	-1	2	2	2
Net interest income	0	5	7	10	15
Equity-method gains	0	0	0	0	0
Other	-15	8	3	5	5
Net prof before income tax	105	191	245	369	525
Income tax	22	42	45	70	103
Net profit from continuing ops	84	149	200	299	422
Net profit from discontinued ops	0	0	0	0	0
Net profit	84	149	200	299	422
NP for controlling interest	**84**	**149**	**200**	**299**	**422**
Total comprehensive income	83	149	201	299	422
Total comprehensive income, CI	83	149	201	299	422

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**305**	**437**	**612**	**883**	**1,294**
Cash & cash equivalents	62	109	192	321	517
Accounts receivables & other	96	137	182	251	358
Inventory	60	91	123	170	243
Non-current assets	187	245	265	291	307
Tangible assets	168	179	206	227	247
Investment in affiliates	0	0	0	0	0
Other investment assets	12	42	42	42	43
Total assets	**493**	**682**	**878**	**1,174**	**1,601**
Current liabilities	53	90	122	168	239
Accounts payable & other	17	51	69	95	136
ST financial liabilities	1	1	1	1	1
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	6	6	8	11	15
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**58**	**96**	**130**	**179**	**255**
Equity, controlling interest	434	585	748	995	1,346
Paid-in capital	15	15	15	15	15
Capital surplus	230	230	230	230	230
Retained earnings	148	284	447	693	1,045
Equity, non-controlling interest	0	0	0	0	0
Total equity	**434**	**585**	**748**	**995**	**1,346**
Net debt	**-130**	**-198**	**-293**	**-440**	**-664**
Total debt	11	3	4	5	6

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**16**	**115**	**131**	**196**	**266**
Net profit	84	149	200	299	422
Depreciation & amortization	3	4	4	4	4
Forex gains	-6	3	-2	-2	-2
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-86	-69	-85	-118	-171
Other	21	29	14	14	14
Investing cash flow	**-173**	**-54**	**-44**	**-45**	**-55**
Investment	-33	-55	0	0	0
Increase in tangible assets	-90	-15	-31	-25	-25
Decrease in tangible assets	0	0	0	0	0
Other	-51	16	-13	-20	-30
Financing cash flow	**198**	**-13**	**-30**	**-43**	**-61**
ST financial liabilities	11	-8	1	1	2
Debenture/LT financial liabilities	0	0	0	0	0
Equity	245	0	0	0	0
Cash dividend	-5	-13	-38	-52	-70
Other cash flow	-54	8	8	8	8
Consolidation adj and other	0	-1	26	22	46
Increase in cash & equivalents	**41**	**47**	**83**	**130**	**196**
Beginning cash & equivalents	21	62	109	192	321
Ending cash & equivalents	62	109	192	321	517
NOPLAT	109	179	**234**	**352**	**503**
FCF	**-74**	**100**	**100**	**171**	**241**

Valuation

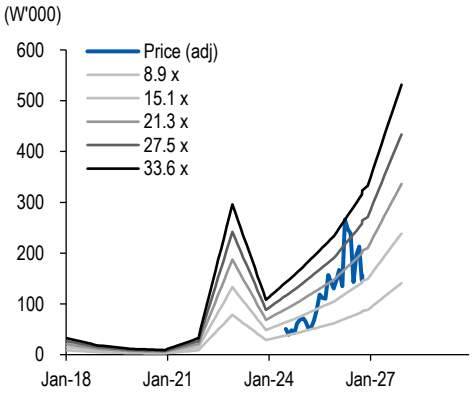
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	3,214	4,891	6,548	9,748	13,761
BPS (won)	14,553	19,269	24,459	32,529	44,020
EBITDA/shr (won)	4,302	6,013	7,778	11,634	16,570
SPS (won)	12,828	16,487	22,073	30,531	43,519
DPS (won)	420	1,250	1,700	2,300	3,000
P/E (x)	**15.7**	**19.4**	**23.7**	**15.9**	**11.3**
P/B (x)	**3.5**	**4.9**	**6.3**	**4.8**	**3.5**
EV/EBITDA (x)	**12.6**	**14.7**	**18.7**	**12.1**	**8.0**
P/S (x)	**3.9**	**5.8**	**7.0**	**5.1**	**3.6**

Key financial data

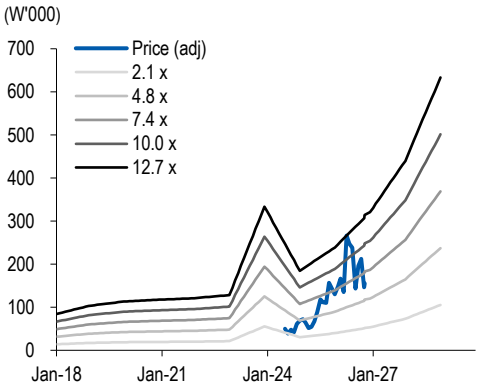
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.0**	**50.3**	**34.6**	**38.4**	**42.5**
Operating profit (%YoY)	**na**	**63.5**	**30.8**	**50.7**	**43.0**
Net profit, CI (%YoY)	**na**	**78.0**	**34.6**	**49.0**	**41.2**
Gross margin (%)	43.0	46.6	44.5	47.3	47.4
Operating margin (%)	**32.7**	**35.6**	**34.6**	**37.6**	**37.7**
Net margin, CI (%)	25.1	29.7	29.7	31.9	31.6
EBITDA margin (%)	33.5	36.5	35.2	38.1	38.1
ROIC (%)	29.9	45.0	53.6	61.7	71.7
ROA (%)	17.0	25.4	25.7	29.1	30.4
ROE (%)	**19.3**	**29.2**	**30.1**	**34.3**	**36.0**
Debt-to-equity (%)	13.5	16.5	17.3	18.0	18.9
Net debt-to-equity (%)	-30.0	-33.8	-39.1	-44.3	-49.3
OP/financing cost (x)	54.9	18,239.1	51,911.9	62,269.9	67,995.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

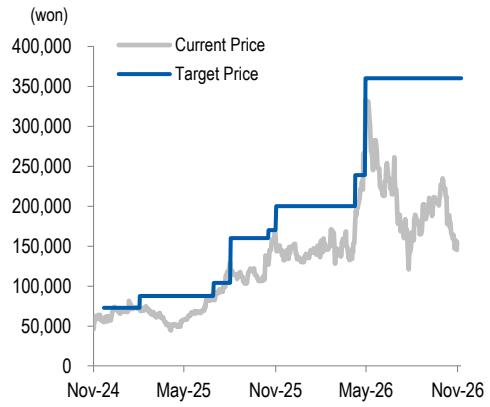
P/E band chart



P/B band chart



Sanil Electric (062040 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/05	BUY	360,000	1 yr		
2026/05/04	BUY	360,000	1 yr		
2026/04/14	BUY	239,000	1 yr	-10.24	11.30
2025/11/06	BUY	200,000	1 yr	-27.46	-13.55
2025/10/22	BUY	170,000	1 yr	-8.50	-0.76
2025/08/07	BUY	160,000	1 yr	-28.08	-13.44
2025/07/04	BUY	104,000	1 yr	-0.99	25.10
2025/02/06	BUY	87,500	1 yr	-26.25	1.71
2024/11/26	BUY	73,000	1 yr	-6.44	11.78

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 05, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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